

**Before the
FEDERAL MARITIME COMMISSION**

Docket No. 24-01

Visual Comfort & Co.

v.

COSCO Shipping Lines Co., Ltd.

RESPONDENT'S SUPPLEMENTAL BRIEF IN OPPOSITION

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COSCO Shipping Lines Co. Ltd. (“COSCO” or “Respondent”) respectfully submits its Supplemental Brief in opposition to the Supplemental Brief (“CSBrief”) of Complainant Visual Comfort & Co. (“VCC” or “Complainant”).

INTRODUCTION

The CSBrief lives up to its name. It consists of barely six pages, mainly regurgitating with no detail the same, already disproven theories Complainant made in prior filings. Mere repetition without addition does nothing to further Complainant’s position, which it appears to recognize.

ARGUMENT

A. Matters That are no Longer in the Case

In its opening and reply briefs, Complainant, not having much of a case on the merits, relied almost exclusively on the claim that COSCO had been deficient in producing discovery, and so the Presiding Officer should indulge in certain adverse inferences. Although COSCO demonstrated that no such inferences were warranted and that it had responded adequately to VCC’s discovery requests, the Presiding Officer generously, we would say too generously, ordered COSCO to produce even more documents, including documents never actually requested by VCC.

COSCO complied fully with the Presiding Officer’s Order and conducted multiple additional searches and produced additional documents. As predicted by COSCO, the additional burden and expense turned out to be of little to no import, as demonstrated by Complainant’s failure to use anything more than a few benign documents in its CSBrief.

Accordingly, there is no longer any need for Respondent to address, or the Presiding Officer to consider, the former request for adverse inferences.

Likewise, Complainant effectively admits that it did not, and apparently cannot, make out a case regarding specific shipments, specific dates, and specific charges. In this regard, we note that Complainant fails to address the Presiding Officer’s decision in FMC Docket No. 24-10, *TZ SSE Buyer, LLC v. Yang Ming Marine Transport Corp.*, 2025 WL 1083815 (ID, March 24, 2025), which holds that claims for unreasonable detention and demurrage charges must be made on a shipment-by-shipment basis, so that aggregate claims, such as those pressed by Complainant, must be ignored.¹ We assume that Complainant is aware of that decision, as it shares an expert with the complainant in that proceeding.

Nor does Complainant address the decision of the FMC on remand from the Court of Appeals for the D.C. Circuit in *TCW v. Evergreen*, Docket No. 1966(I), 2025 WL 516256 (FMC). There, the Commission stated that it would henceforth “assess reasonableness by balancing how a *particular charge* fits within the incentive principle to further the primary purpose of promoting freight fluidity alongside other arguments and extenuating circumstances raised by the parties.” *Id.* at *4 (emphasis added). And it further determined that no cease-and-desist order could be issued because “it is necessary to make a case-by-case determination as to the reasonableness of challenged demurrage and detention practices. *Id.* at *11.

B. Rebuttal of Complainant’s Arguments

Because Complainant says so little, there is not much to rebut, so our response will be relatively short.

¹ Complainants instead argue that, in some cases, reparations may be awarded based on aggregate injury. As we show below, Complainant’s assertions are irrelevant because Complainant cites only cases about reparations, *not liability*, and because the cases it cites involved totally different types of alleged violations, where the violation is necessarily based on the aggregate number of shipments not carried.

1. Liability

Complainant begins by reiterating without additional support its prior assertions that COSCO's policies on detention and demurrage were deficient in general in various respects. We have already demonstrated that Complainant's cavils do not make out a Shipping Act violation. Complainant has not added any support to its bald assertions – no citation to cases, no attempt to explain how the Incentive Principle is involved, no discussion of what it means for a practice to be unreasonable under the Shipping Act, discussion of facts, and as we reiterate in discussing reparations, no showing as to how the alleged, but unproven, practices affected specific shipments and specific charges. Accordingly, Complainant's assertions are simply irrelevant, as well as wrong.

Complainant does cite a few documents, albeit less than candidly, but they aid VCC's claims not a whit. According to Complainant, referring to **Exhibit 1**, the marine terminal operator (Maher) "informed COSCO that the principal contributor to port congestion was unreasonable dwell time by COSCO's own vessels." That assertion is patently false. The first email in the string, for example, refers to long-dwelling *imports*." (Emphasis added). This refers to import *containers* (not vessels) being left at the terminal by importers such as VCC, as is confirmed by the very next email, which refers to COSCO having a system of "reports for pushing customers [to] pick up the boxes." Thus, to the extent that the email has any significance, it shows that VCC, not COSCO, was the source of congestion.² In any event, Complainant's claims are not about who caused congestion, but rather about COSCO's

² Complainant's reference to the marine terminal operator's preference for less unloading and more loading is just a red herring. VCC is an importer, not an exporter, so any focus by COSCO on unloading import cargo, as opposed to loading export cargo and empty containers, would actually benefit VCC.

assessment of specific charges for specific containers on specific days when VCC/its agents failed to pick up loaded containers or return empty containers on a timely basis.

Complainant is equally disingenuous in describing **Exhibit 2**. Contrary to VCC's assertion, there was no threat of a cargo hold in this email string. Nor is this an example of COSCO improperly assessing fees, as VCC baselessly asserts. Rather, as the string shows, COSCO accidentally sent a bill for per diem to the trucker when the invoice was supposed to go directly to the shipper under the arrangement between COSCO and the shipper, and COSCO was working to refund the trucker and send a new invoice to the shipper. This demonstrates that COSCO's dispute resolution process actually worked well when entities used it, as VCC (or RIM) admittedly did not.

Complainant's description of the third document is also inaccurate. It does not show that COSCO created a separate portal for important customers; rather, it simply indicates that COSCO was considering the creation of such a portal and does not say that it might not be used by VCC. In any event, as COSCO demonstrated in its Opposition Brief (pp. 27-29), the Shipping Act does not concern itself about treating different service contract customers differently, precludes any claim of violation based on discrimination among service contract holders, and indeed encourages carriers and shippers to form contracts best suited to their individual needs.³

Thus, even apart from the lack of candor, Complainant here is clutching at something less than straws. But wishes are not horses.

³ The original Presiding Officer ruled that COSCO's service contracts with other parties were irrelevant and therefore need not be produced. *Partial Order on Motions to Compel, Motion for Entry of Protective Order, and Motion for Enlargement of Page Limits*, Slip op. at 8 (ALJ, July 17, 2024).

VCC next states, without any evidence other than its own *ipse dixit*, that “VCC incurred these charges by no fault of its own, as it always collected and returned containers as quickly as possible, and it never abandoned cargo.” But this is patently untrue, as documentary evidence demonstrates that VCC intentionally deferred the pickup of cargo, “telling its agents to leave containers at the port until space opened up in its warehouse and to prioritize certain shipments, leaving other less important shipments. [RPFF61; RPFF76; RPFF77].” Opposition Brief at 8 n.7.

2. Reparations

COSCO demonstrated in its Opposition Brief that no reparations can be awarded to VCC because it failed to bear the burden of proving liability. COSCO also demonstrated that VCC failed to prove with “reasonable certainty” either the fact or the quantum of injury, as well as the following:

- Complainant has not provided any evidence, much less proof, that COSCO assessed detention or demurrage charges against VCC or RIM. In fact, VCC has not put into the record a single invoice for such charges from COSCO to VCC or RIM; nor does VCC present any proof that RIM paid such charges to COSCO. Opposition at 17. [RPFF256; RPFF258.]
- The far largest portion of reparations Complainant seeks relates to “yard storage.” But despite VCC’s tortured attempt to twist Mr. Takase’s testimony, COSCO simply does not, and did not, assess any such charges.
- VCC failed to demonstrate that either VCC or RIM (VCC’s assignor) paid the challenged charges directly to COSCO, so VCC has no standing to seek reparations under the Commission’s longstanding rule that only a “direct purchaser” may seek reparations.

- VCC has failed to provide proof of payment – that is, proof that it or VCC actually paid the claimed amounts to COSCO. There are no canceled checks or evidence of transfers of funds or any other form of payment.
- Mr. McCown’s calculation of damages was not premised on any theory propounded by the Brief, but on a simple allegation that COSCO’s daily rates were simply “higher than they should have been.” But the Commission does not regulate prices, and Mr. McCown’s calculations are fatally flawed. In any event, as Mr. Hackett demonstrated, COSCO’s rates were not “outside industry norms,” but rather, were among the lowest of its peers. RX77 (Hackett Rpt. at 37); [RPFF197-RPFF199.].
- Subtracting the “storage charges” that COSCO did not assess, the demurrage charges that were equally likely to have been assessed by third parties, and the “per diem” that may not have been either detention or demurrage, the maximum that the Presiding Officer might award, even if he somehow found a violation, is \$0.00.

VCC does not even attempt to rebut any of these demonstrations. Instead, it makes a convoluted and misplaced argument that, in some other types of cases, the Commission may award reparations without addressing individual shipments. VCC is wrong for multiple reasons.

First, VCC again ignores the fact that the Presiding Officer has already ruled on this matter in a way flatly adverse to VCC. In *TZ SSE v. Yang Ming*, discussed above, the Presiding Officer concluded that he had to exclude from reparations every individual shipment where the Complainant failed to demonstrate a violation. Here, that is all of them.

Second, the requirement for the FMC to evaluate detention and demurrage charges by reference to specific shipments, dates, and charges, is *a matter of liability*, not a matter of calculating damages. Because VCC has utterly failed to show a violation of the Shipping Act for

any specific shipment or charge, there is no question as to how imaginary reparations might theoretically be calculated.

Third, the cases cited by VCC are of a wholly different ilk from the proceeding here. In this case, the question is about the reasonableness of specific charges for detention and demurrage. And as the Commission, the courts, and the *Presiding Officer* have all ruled, that must be done on a shipment-by-shipment, date-by-date, charge-by-charge basis. The cases that VCC now cites are totally different. In each of them, the asserted violation of the Shipping Act was a failure of the ocean carrier to meet its obligation to carry the number of containers it agreed to carry (or in one case, the number of containers it would have promised to carry if it had not retaliated against the shipper by refusing it available space). It is hardly surprising that, when the carrier promised to carry 1,000 containers and in fact carried only 500 containers, the Shipping Act violation is the failure to carry 500 containers, so that number (times demonstrated profit per container) may be used in calculating reparations.

We also note that Complainant has been less than forthright in its citations. It is careful to say, for example, that *MCS Indus., Inc. v. COSCO Shipping Lines Co. Ltd.*, Docket No. 21-05, (F.M.C. Jan. 3, 2024), was affirmed by the Commission, but neglects to mention that the Commission's opinion is on appeal to the United States Court of Appeals for the District of Columbia, or that the panel that recently heard oral argument in the matter was highly skeptical of the FMCs position. We also note that VCC cites a law review article about these two cases that it fails to reveal was written by attorneys from a law firm that regularly represents shippers

in litigation before the FMC. The article is thus not to be credited even apart from being wholly irrelevant.⁴

CONCLUSION

For the foregoing reasons, the Complaint must be dismissed and the proceeding terminated.

Dated: April 17, 2025

Respectfully submitted,

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⁴ We are surprised to know that it is now considered appropriate for attorneys to plant articles in law reviews for the purpose of assisting their own financial endeavors in the very area, or for law reviews to accept such stories. This must be a fairly modern development.

CERTIFICATE OF SERVICE

I certify that on the 17th day of April, 2025, a true and correct copy of the foregoing document was served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020.

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